

Annual Report & Financial Statements — 2012 —



A Member of **Diniz Holdings Limited**

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GROUP INFORMATION

BOARD OF DIRECTORS

Dr. C. W. Obura - **Chairman**
Hector Diniz
Kajal Thakker (Resigned 18 September 2012)
Pinhas Moskovich *
Nazir Sayani (Appointed 18 September 2012)

* *Israeli*

CHIEF EXECUTIVE OFFICER

Hector Diniz

REGISTERED OFFICE

Airport Trade Centre, Freight Road
P O Box 40433 - 00100, Nairobi

PRINCIPAL PLACE OF BUSINESS

Express House
Etcoville, Road A, Off Enterprise Road, Industrial Area
P O Box 40433 - 00100, Nairobi
Tel: +254 (20) 3002372-5
Cell: +254 (722) 204102-3
Fax: +254 (20) 531323
Website: www.expresskenyalimited.com

INDEPENDENT AUDITOR

PKF Kenya
Certified Public Accountants
P O Box 14077 - 00800, Nairobi

COMPANY SECRETARY

Equatorial Secretaries and Registrars
Certified Public Secretaries
P O Box 47323, 00100, Nairobi

PRINCIPAL BANKER

Commercial Bank of Africa Limited, Nairobi

LEGAL ADVISOR

Archer and Wilcock Advocates, Nairobi

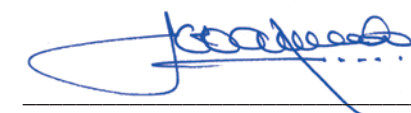
NOTICE OF ANNUAL GENERAL MEETING

FOR THE YEAR ENDED 31 DECEMBER 2012

NOTICE IS HEREBY GIVEN that the **Forty-Second Annual General Meeting** of the Company will be held at Eka Hotel, along Mombasa Road, Nairobi on **Friday, 27 September 2013 at 11:00 a.m.** to transact the following business:

1. To table the proxies and to note the presence of a quorum.
2. To read the notice convening the meeting.
3. To confirm the minutes of the Forty-First Annual General Meeting of the Company held on 21 September 2012.
4. To receive, consider and adopt the Audited Financial Statements for the year ended 31 December 2012 together with the Chairman's Statement and the reports of the Directors and Auditors thereon.
5. To note that the Directors do not recommend payment of a dividend (2011: nil) in respect of the financial year ended 31 December 2012.
6. To approve the Directors' fees as stated in the Audited Financial Statements for the year ended 31 December 2012.
7. To re-elect Directors:-
 - i) Mr. Nazir Sayani who was appointed a director during the year, retires in accordance with Article 90 of the Company's Articles of Association and, being eligible, offers himself for re-election
 - ii) Dr. C W Obura retires in accordance with Article 113 of the Company's Articles of Association and, although being eligible, does not offer himself for re-election.
8. To note that PKF Kenya continue in office as Auditors to the Company by virtue of Section 159 (2) of the Companies Act (Cap. 486) and to authorise the Directors to fix their remuneration for the ensuing financial year.
9. Any other business of which due notice has been received.

BY ORDER OF THE BOARD



EQUATORIAL SECRETARIES AND REGISTRARS

Company Secretary

Dated: 25 July 2013

Note: A member entitled to attend and vote at the above meeting is entitled to appoint one or more proxies to attend and vote on his or her behalf. A proxy need not be a member. To be valid, a form of proxy which is attached to this notice must be duly completed and signed by the member and must either be lodged at the Registered office of the Company, Express House, Road A, off Enterprise Road, P O Box 40433-00100, Nairobi or with the Company Secretaries, Equatorial Secretaries and Registrars, Kalamu House, Grevillea Grove P O Box 47323, 00100-Nairobi, so as to reach not later than 11.00 a.m. on 25 September 2013.

The Annual Report for the year ended 31 December 2012 and a Proxy Form have been uploaded on our website: www.expresskenyalimited.com

On behalf of the Express Kenya Group, I would like to extend my cordial greetings to our valued shareholders, customers, suppliers and employees on this auspicious occasion as we mark the Company's 95 years since its' inception.

GROUP PERFORMANCE

Express Kenya Limited has once again returned to profitability albeit to a lesser degree. Revenues of KShs. 229 million (2011: KShs. 450 million) have yielded a profit after tax of KShs. 13 million (2011: Loss of KShs. 229 million) and headline earnings per share of KShs. 0.37 (2011: Negative 6.47). The Group concluded the year with positive net profit of KShs. 13 million after obtaining a tax credit of KShs. 26 million for the same period.

"A great deal is demanded and expected of our Directors, particularly given the systemic importance of our institution to the economy and the impact we have on the society in which we operate."

The Group has rebuilt its cash position by improving its working capital cycle through reducing long term debtors in its books and tightening the debt policy.

The Board recognizes that good corporate governance is in the long term interest of the Group and we are conscious of our responsibilities for setting values which underpin the Group culture. As Chairman, I am mindful of my personal responsibility for leading the Board and ensuring it operates effectively. One of my areas of focus over the years has been to ensure that we have a strong and well-functioning body, comprised of individuals, not only with the right abilities in terms of technical or business experience, but also with the personal qualities required to be effective stewards of the business and the dedication and commitment to the company, particularly in times of stress.

Good and effective corporate governance is also very much dependent on the skills and experience of individuals on the Board and how well they work together as a whole to achieve long term value for shareholders. A great deal is demanded and expected of our Directors, particularly given the systemic importance of our institution to the economy and the impact we have on the society in which we operate. We have revisited the range of skills and competencies that we require around the Board table and these are set out in the Board Corporate Governance and Nominations Committee report.

We have made some good progress in developing the strength and depth of the management team in the year as well as improving the communication between the various different offices.

SEGMENTAL REPORTING

The business has three reportable segments which are the strategic business units offering different services and managed jointly. Each reportable segment is as follows:

THE TRANSPORT SEGMENT

This is the largest department within the company. In the year, it contributed KShs. 120 million. Despite

reduction in revenue from the previous years' high of 262 million, gross profit improved by over 9 million to KShs. 25 million in the year just concluded. The claims outstanding against this business segment also reduced by KShs. 213 million and settled at KShs. 153 million by year end.

FREIGHT SEGMENT

This segment contributed over KShs. 49 million in revenue and KShs. 10 million gross profit. The liabilities due reduced by KShs. 18 million settling at 14 million by the end of the year. The company also cancelled under utilized guarantees leading to a further cost saving.

WAREHOUSING AND CONTAINER STORAGE SEGMENT

This segment contributed KShs. 59 million in revenue and KShs. 14 million in gross profit. The liabilities also reduced to KShs. 36 million. The segment faced a lot of challenges in the year under review given the high number of theft cases that took place within the company's premises throughout the year. Most of the clients ended up losing their goods leading to a major migration of clients to other providers as well as an increment in the legal liabilities against the Company.

LOOKING AHEAD...

The Group's portfolio of operations is operating relatively well and its' growth prospects are good. This year has largely been one of internal consolidation laying the groundwork for the company's expansion of its business into the real estate sector of the economy. The Board and its committees continue to work to achieve the desired results, and the insights gained from this process have been built into a clear action plan for the year ahead.

Completing much of the groundwork this year will position us strategically so as to make good progress in the future. As such, the management is now fully focused on integrating the new business into its' structure.

Stronger and reliable cash flows and an ungeared balance sheet place the Group in an excellent

position to continue with its strategy of growing all its businesses in transport, logistics, as well as in the real estate sector. The Board is focused on the execution of this strategy, and remains confident in future prospects.

This year, the Company was also certified as an Authorized Economic Operator. There are various advantages that accrue from this development. Key amongst these is the increased trust by potential customers, the free international advertisement the Company acquires etc. These serve to boost the number of customers. It also implies that in cross border trading, the Company undergoes fewer security checks on the goods it is transporting. This translates into efficient and effective service delivery to all clients.

APPRECIATION

As competition naturally intensifies and expectations grow, Express Kenya Limited has had to meet the challenge of constant improvement. The Company recognizes that this doesn't happen by chance; it happens because of the skills, qualities and commitment of the Board of Directors, management, employees and suppliers. I would, on behalf of the Board, like to express our appreciation to all the aforementioned for their significant contribution to another successful year.

A special thank you note also goes to our customers who have remained loyal to the Company, year after year.



DR. C. W. OBUA
Chairman



We are pleased to report relatively good results for the Group for 2012. This is despite the uncertainty and turbulence still evident in the economy and despite trends in several of our market segments.

In the year under review, the company experienced an improvement in its' net position from the previous loss position of KShs. 229 million (2011) to the current profit of KShs. 13 million (2012). This was mainly attributable to the company's base line strategy of reducing the operation costs and improving efficiency so as to be in line with the changes in economic conditions.

Due to the past over reliance on EABL and the sudden negative change in the company's fortunes, the company's shareholding position was extremely geared at the beginning of the year by a ratio of over 200% (KShs. 367 million). This in effect meant that a majority of the company's assets were being sustained by creditors, posing a high risk to the entity's ability to continue as a going concern and threatened its' ability to provide returns to shareholders as well as benefits to other stakeholders.

"We shall still continue with our core business of transport and logistics."

By the end of 2012, the gearing had dropped to a manageable 40% (99 million). The company's finance costs dropped from a high of KShs. 99 million (2011) to KShs. 29 million (2012) resulting in massive savings for the shareholders and an improvement in goodwill.

Over the same period, the company saw it fit to downsize the number of employees in its payroll given there was a substantial reduction in the workload. This move saw the company save a further KShs. 29 million which was assimilated into other business segments.

The company's working capital saw an improvement aided mainly by the company improving its cash collection by calling on past due debtors to pay up. Those debtors who did not pay up had their goods auctioned towards the year end as the company tried to cut back on its' losses. A tightening of the

company's debt policy also saw its position improve. Subsequently, the trade and other receivables dropped from a high of 96 million to 17 million towards year end. As a result of the improved cash flow, the company was able to reduce its' trade and other payables that arose from the normal course of business by over 22 million. The deficit position in its retained earnings also benefitted from this given it improved by over KShs. 59 million.

2011 was very radical as the Kenyan shilling was negatively pitted against other major currencies. This negatively affected the company's base resulting in a loss of over 25 million. 2012 saw an improvement in its fortunes and ended up reporting a profit of 2.6 million with regard to the foreign exchange transactions.

The company also decided to hire out part of the groups transport fleet so as to generate cash flows to enable it meet its day to day operations. This saw the company's revenue base stabilize and operation continue as per norm seamlessly.

All in all, the company faced some challenges along the way such as the doubling of legal claims to KShs. 10 million. This was mainly as a result of various law suits that faced the company arising from previous year's events. The fines and penalties imposed against the company also tripled over the same period.



A fleet of vehicles awaiting inspection at our P.D.I. Section

MOVING FORWARD...

As per last years AGM, the company was initially weighing various options to raise the funds to takeoff its' real estate project. These options included, but were not limited to, offering the existing shareholders a rights issue, inviting contributions from private investors or borrowing from banks. That said the company has since then laid the framework for its launch into the real estate sector. This is a strategic move given the Company has a parcel of land in Kenya situated in Nairobi's main suburb, more so in Nairobi's

Industrial Area where it commands more than 15 acres of prime land.

The underlying demand for housing is good in several markets where there are residential developments that exceed customer expectations as well as the standards delivered by rival developers.

Our master plan entails the building of 1200-1500 residential apartments in blocks 10-12 storeys high. These shall be divided into 3 major types – studios, one bed roomed and two bed roomed apartments - to cater for all the market segments. The apartment sizes shall range between 80-120 sqm per unit. The interior décor of the house shall constitute state of the art, high quality finishes that will attract buyers by the thousands.

Other than the residential development, the master plan also lays out commercial space property with the inclusion of a supermarket and office space.

Already, several reputable international as well as local firms have thrown in their proposal to be the company's chief architects with some bringing their own funding. Given our earlier decision to normalize our bank accounts and thus clearing the leverage on the title deeds, several banks have also expressed their interest in the same project, offering very competitive interest rates.

One cornerstone of this plan is to exploit the financial synergies amongst the current business segments to an even greater extent than previously. Simply put, you could say that we will invest cash flow and profits from the construction into expanding our portfolio which will generate conditions for further value creation in both construction and logistic operations.

The said project shall be executed over a five year period and is structured in such a way that it shall not interfere with the operations of the current business segments. The transport and logistics, warehousing, sea and airfreight operations shall continue as per norm.

We shall still continue with our core business of transport and logistics.

This year, we are also happy to report that the company has finally been certified as an Authorized Economic Operator (AEO Certified). This is an

international accreditation and its award shows that the company has finally joined the league of international operators. The certification is a reserve of companies that have been found to be financially stable, take adequate safety and security measures and have simplified customs proceedings. It is mainly applicable in the Air and Sea Freight operations, key segments of the Company.



A fork lift stacking containers

APPRECIATION

I take this opportunity to thank Express Kenya's Board of Directors for their valuable support during the year. I would also like to thank the Management team for the immense effort it put in during the year.

Concerning our employees, the great majority of them are very much aware of the demands made on them, and I feel confident saying that in general they are deeply committed individually to helping realize this vision.

I believe that 2012 was a relatively good year for the Group as a whole.

Finally it is important to note that the Group's financial position is solid. This is a prerequisite for being able to conduct in the long term the type of operation that is coming up.

Overall, I look favorably on the future of the Group, for 2013 and in a longer perspective.

Thank you for your attention!

H. DINIZ
Chief Executive Officer

Corporate Governance forms part of the Report of the Directors, in compliance with the Company's Act.

Boards of Directors are responsible for the governance of their companies. The Code makes clear that corporate governance is about what the board of a company does and how it sets the company's values.

Express Kenya Limited is a Kenyan public limited company whose shares are listed on the Nairobi Stock Exchange. The Express Kenya Group of companies are governed in accordance with the Articles of Association, the Companies Act, the Capital Markets Authority rule book for issuers as well as other applicable professional rules and ordinances.

OBJECTIVE

We are determined as a Board and as a Company to make progress and to do everything in our power to regain the trust of our stakeholders; our commitment is to return the company to its' former glory.

Express Kenya Limited has a well-defined and well-structured corporate governance framework in place to support the Board's aim of achieving long term and sustainable shareholder value.

The Board meets occasionally to deal with a broad range of issues pertaining to the company's management operations, including strategic direction, the setting of key corporate priorities, financial and risk management, internal audit reports and minutes of Audit Committee meetings, resource deployment, senior management appointments and performance. The Board reviews compliance with all other legislations as well.

At the Annual Shareholders' Meeting, shareholders listed in the register of shareholders on the record date who notify the Company of their intention to participate in the meeting are entitled to attend it either personally or by proxy through a representative or substitute.

Well before notice of the meeting is issued, the Company's website provides information on how shareholders shall proceed in order to vote by proxy.

DIRECTORATE

Good and effective corporate governance is also very much dependent on the skills and experience of individuals on the Board of Directors and how well they work together to achieve long term value for shareholders. A great deal is demanded and expected of our Directors, particularly given the systemic importance of our company to the national economy and the impact we have on the societies in which we operate.

The Company has sought to reinforce the non-executive presence on the Board and to ensure that the Board is both balanced and diverse. We have revisited the range of skills and competencies that we require around the Board table and these are set out in the Nominations Committee report. The Board needs to have non-executive Directors with financial services experience but also access to other skills and experiences, particularly in the management of change.

The Board has established four special committees:

- Management Structure and Board Committee
- Audit Committee
- Remunerations Committee
- Nominations Committee

MANAGEMENT STRUCTURE AND BOARD COMMITTEE

Management Advisory Committee (MAC)

The Management Advisory Committee, consisting of the Board and all Heads of Divisions, meets at least once a month to monitor performance across the organization. The committee reviews existing programs and priorities to ensure that they remain responsive to emerging and proposed developments, deals with business issues which have cross-divisional impacts and plays a key role in managing corporate risk.

AUDIT COMMITTEE

The Audit Committee provides independent governance assurance to the Board of Directors. Its' role is to oversee the internal audit function, management programs, accounting systems and to provide objective advice to the Board in relation to its operation and development. The committees' membership is drawn from the non-executive directors and is chaired by Mr.. Pinhas Moskovich.

The Board places a high degree of importance on having systems and processes independently examined and assessed by the company's Internal Auditors. The internal auditor is an ex-official member.

An Audit Plan is prepared each year, following consultation with the Board, senior management and input from the Chair of Internal Audit. The Chairman of the Board approves the Plan and ensures that steps are taken concerning shortcomings and implementing the proposed actions that emerge from internal and external auditing.

REMUNERATIONS COMMITTEE

The role of the Committee is to ensure that the company is able to motivate, retain and incentivize the people it needs to deliver the Board's strategy. This is done by attracting, retaining and competitively rewarding colleagues with the ability, experience, skill, values and behavior to deliver.

While discharging this role, the company ensures that it pays no more than necessary to achieve its' objectives. By doing so the company protects and promotes the interests of its shareholders. This is done on the basis of transparent compliance and engagement with the regulators.

NOMINATION COMMITTEE

The Nomination Committee is responsible for making recommendations on board appointments and on maintaining a balance of skills and experience on the board and its committees. It is chaired by an Independent Director.



Our head office located at Airport Trade Centre, JKIA, Nairobi

Succession planning for the board is a matter which is devolved primarily to the Nomination Committee, although the committee's deliberations are reported to and debated by the full Board. The board itself also regularly reviews more general succession planning for the senior management of the group.

Transparency is fundamental to the Nominating Committee's processes. The selected candidates are pre-screened and then their names are tabled to the Chair who then approves the appointment of candidates whose profiles correspond to the company's needs. This is more so within the non-ex-officio members of the Nominating Committee.

In addition to the best candidate for the job, the Nominating Committee seeks a broad regional and professional representation, gender balance, and candidates from countries with different levels of economic development.

RISK MANAGEMENT AND INTERNAL CONTROLS

One of the main objectives of managing risk is to ensure that the Company achieves balance between capital requirements and resources. The capital planning cycle is fully integrated within strategic planning.

Responsibility for risk management resides at all levels within the Group, from the Board and the Executive Committee down through the organization to each business manager. Express Kenya Limited distributes these responsibilities so that risk/return decisions are taken at the most appropriate level; as close as possible to the business, and subject to robust and effective review and challenge. The responsibilities for effective review and challenges reside with senior managers, risk oversight committees, the independent Group Risk function, the Board Risk Committee and, ultimately, the Board.

This culture is operationalized and embedded in our organizational structure. Independent risk teams are in place within each of our major businesses to support close working relationships with and knowledge of business teams taking on the risk. These teams ultimately report to the Chief Executive.

Group Risk's mission is to deliver effective and then efficient risk management that is consistent with Express Kenya Limited's commercial objectives, through providing functional capability and control as well as independent and appropriate challenges at every level, from a single transaction to an aggregate portfolio view, while ensuring 'no surprises'.

As such, the business plans of the company must incur a level of risk that falls within the Board's tolerance, or be modified accordingly.

In looking at the internal control structures in place, it is clear that Express Kenya Limited has been well served by having a Board Risk Committee focused on credit, counter party, market, capital and liquidity risks.

RESIGNATIONS AND APPOINTMENTS

Kajal Thakker (Mrs.) resigned from her position on the board on 18th September 2012. Her replacement, effective the same date, was Nazir Sultanali Sayani (Mr.).

MAJOR SHAREHOLDERS

A schedule containing names, number of shares and actual percentages of the thirty (30) largest shareholders is provided on page 52.

FINANCIAL HIGHLIGHTS

Financial Highlights illustrating the performance of the company have also been provided.

The Directors submit their report and the audited consolidated financial statements for the year ended 31 December 2012, which disclose the state of affairs of the company and its subsidiaries (together, the 'Group').

PRINCIPAL ACTIVITIES

The principal activities of the group are that of clearing and forwarding services for both air and sea as well as warehousing and logistics services.

	GROUP		COMPANY	
	2012	2011	2012	2011
RESULTS	Shs	Shs	Shs	Shs
(Loss) before tax	(13,236,211)	(222,354,797)	(13,012,411)	(217,864,267)
Tax (charge)/credit	26,263,786	(6,733,316)	26,263,786	(5,068,940)
Profit/(loss) for the year	13,027,575	(229,088,113)	13,251,375	(222,933,207)

DIVIDEND

The Directors do not recommend the declaration of a dividend for the year (2011: Nil).

DIRECTORS

The Directors who held office during the year and to the date of this report are shown on page 1.

In accordance with the company's Articles of Association, Mr. N. Sayani & Dr. C. W. Obura retire in accordance with Articles 90 and 113 respectively.

AUDITOR

The Company's auditor, PKF Kenya, has indicated willingness to continue in office in accordance with Section 159(2) of the Companies Act (Cap. 486).

BY ORDER OF THE BOARD



EQUATORIAL SECRETARIES AND REGISTRARS

Company Secretary

Nairobi

Dated: 29 April, 2013

STATEMENT OF DIRECTORS' RESPONSIBILITIES

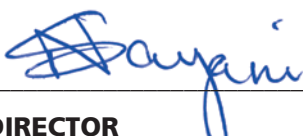
FOR THE YEAR ENDED 31 DECEMBER 2012

The Companies Act (Cap. 486) requires the directors to prepare financial statements which give a true and fair view of the state of affairs of the company and its subsidiaries, (together, the 'group'), as at the end of the financial year and of the results for that year. It also requires the directors to ensure that the group maintains proper accounting records which disclose with reasonable accuracy the financial position of the group. The directors are also responsible for safeguarding the assets of the group.

The Directors accept the responsibility for the financial statements which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, consistent with previous years, and in conformity with International Financial Reporting Standards and the requirements of the Companies Act (Cap. 486). The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group as at 31 December 2012 and of its results for the year then ended. The Directors further confirm the accuracy and completeness of the accounting records maintained by the group which have been relied upon in the preparation of the financial statements, as well as on the adequacy of the systems of internal financial controls.

Nothing has come to the attention of the Directors to indicate that the Group will not remain a going concern for at least the next twelve months from the date of this statement.

Approved by the Board of Directors on 29th April, 2013 and signed on its behalf by:



DIRECTOR



DIRECTOR

REPORT OF THE INDEPENDENT AUDITOR

FOR THE YEAR ENDED 31 DECEMBER 2012

REPORT ON THE FINANCIAL STATEMENTS

We have audited the accompanying financial statements of Express Kenya Limited and its subsidiaries (together, the 'group') set out on pages 6 to 39 which comprise the consolidated and company statements of financial position as at 31 December 2012 and the consolidated and company statements of profit or loss, consolidated and company statements of changes in equity, consolidated and company statements of cash flows for the year then ended and a summary of significant accounting policies and other explanatory information.

DIRECTORS' RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The directors are responsible for the preparation of consolidated financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the Companies Act (Cap. 486), and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an independent opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risk of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal controls relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

OPINION

In our opinion, the accompanying consolidated financial statements give a true and fair view of the financial position of the group and the company as at 31 December 2012, and the group and company's financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act (Cap. 486).

EMPHASIS OF MATTER

Without qualifying our opinion, we draw attention to Note 1 of the financial statements which indicates that the group had an excess of current liabilities over current assets of Shs. 97,505,148 (2011: Shs. 271,816,870) and there were accumulated losses of Shs. 76,030,685 (2011: Shs. 135,200,838) at the reporting date. These conditions indicate the existence of material uncertainty which may cast significant doubt about the group's ability to continue as a going concern. However, the financial statements have been prepared on a going concern basis based on the information set out in Note 1.

REPORT ON OTHER LEGAL REQUIREMENTS

As required by the Companies Act (Cap. 486) we report to you, based on our audit, that:

- (i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- (ii) in our opinion proper books of account have been kept by the group, so far as appears from our examination of those books; and
- (iii) the group's statements of financial position and statements of profit or loss are in agreement with the books of account.



CERTIFIED PUBLIC ACCOUNTANTS

PIN NO. P051130467R
Nairobi

Dated: 29 April 2013
472/13

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

FOR THE YEAR ENDED 31 DECEMBER 2012

	Notes	2012 Shs	2011 Shs
Revenue	3	229,907,716	450,323,979
Direct costs		(312,534,527)	(463,057,828)
Gross (loss)		(82,626,811)	(12,733,849)
Other operating income	4	197,731,175	54,774,334
Administrative expenses		(68,921,892)	(83,342,049)
Other operating expenses		(29,664,813)	(26,016,954)
Operating profit/(loss)	5	16,517,659	(67,318,518)
Finance costs	7	(29,753,870)	(99,026,279)
Impairment provisions	8	-	(56,010,000)
(Loss) before tax		(13,236,211)	(222,354,797)
Tax credit/(charge)	9	26,263,786	(6,733,316)
Profit/(loss) for the year		13,027,575	(229,088,113)
Profit/(loss) for the year is attributable to:			
• Owners of the parent		13,027,575	(225,811,838)
• Non-controlling interest		-	(3,276,275)
		13,027,575	(229,088,113)
Earnings per share			
Basic and diluted earnings/(loss) per share	10	0.37	(6.47)

The significant accounting policies on pages 22 to 29 and the notes on pages 30 to 49 form an integral part of these financial statements.

Report of the independent auditor - page 13.

COMPANY STATEMENT OF PROFIT OR LOSS

FOR THE YEAR ENDED 31 DECEMBER 2012

	Notes	2012 Shs	2011 Shs
Revenue	3	229,907,716	429,301,242
Direct costs		(312,534,527)	(463,057,828)
Gross (loss)		(82,626,811)	(33,756,586)
Other operating income	4	197,731,175	40,939,392
Administrative expenses		(68,698,092)	(75,365,280)
Other operating expenses		(29,664,813)	(28,500,879)
Operating profit/(loss)	5	16,741,459	(96,683,353)
Finance costs	7	(29,753,870)	(64,681,914)
Impairment provisions	8	-	(56,499,000)
(Loss) before tax		(13,012,411)	(217,864,267)
Tax credit/(charge)	9	26,263,786	(5,068,940)
Profit/(loss) for the year		13,251,375	(222,933,207)
Earnings per share			
Basic and diluted earnings/(loss) per share	10	0.37	(6.30)

The significant accounting policies on pages 22 to 29 and the notes on pages 30 to 49 form an integral part of these financial statements.

Report of the independent auditor - page 13.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

FOR THE YEAR ENDED 31 DECEMBER 2012

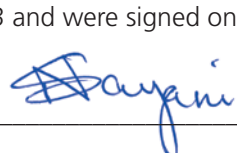
COMPANY STATEMENT OF FINANCIAL POSITION

FOR THE YEAR ENDED 31 DECEMBER 2012

AS AT 31 DECEMBER:

		2012	2011
		Shs	Shs
CAPITAL EMPLOYED	Notes		
Share capital	11	177,018,950	177,018,950
Share premium		10,501,719	10,501,719
Revaluation reserve	12	86,796,793	118,238,000
Retained (deficit)		(76,030,685)	(135,200,838)
Shareholders' funds		198,286,777	170,557,831
Non-controlling interest		-	(15,282,275)
		198,286,777	155,275,556
Non-current liabilities			
Borrowings	13	43,387,476	80,431,705
Deferred tax	14	92,443,875	121,610,937
		135,831,351	202,042,642
		334,118,128	357,318,198
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	15	431,623,276	629,135,068
Current assets			
Trade and other receivables	19	17,243,962	96,104,702
Cash and cash equivalents	20	19,379,313	14,362,038
Tax recoverable		27,362,689	27,195,303
		63,985,964	137,662,043
Current liabilities			
Trade and other payables	21	94,726,337	117,559,632
Borrowings	13	55,914,775	286,569,281
Provision for liabilities and charges	22	10,850,000	5,350,000
		161,491,112	409,478,913
Net current (liabilities)		(97,505,148)	(271,816,870)
		334,118,128	357,318,198

The financial statements on pages 14 to 49 were authorised for issue by the Board of Directors on 29 April, 2013 and were signed on its behalf by:



DIRECTOR



DIRECTOR

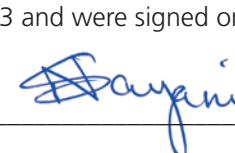
The significant accounting policies on pages 22 to 29 and the notes on pages 30 to 49 form an integral part of these financial statements.

Report of the independent auditor - page 13.

AS AT 31 DECEMBER:

		2012	2011
		Shs	Shs
CAPITAL EMPLOYED	Notes		
Share capital	11	177,018,950	177,018,950
Share premium		10,501,719	10,501,719
Revaluation reserve	12	86,796,793	118,238,000
Retained (deficit)		(71,483,108)	(116,175,690)
Shareholders' funds		202,834,354	189,582,979
Non-current liabilities			
Borrowings	13	43,387,476	47,844,576
Deferred tax	14	92,443,875	121,610,937
		135,831,351	169,455,513
		338,665,705	359,038,492
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	15	431,600,537	629,109,080
Investment in subsidiaries	18	7,491,000	7,492,000
		439,091,537	636,601,080
Current assets			
Trade and other receivables	19	17,243,962	93,466,501
Cash and cash equivalents	20	19,379,313	11,432,578
Tax recoverable		27,362,688	27,795,532
		63,985,963	132,694,611
Current liabilities			
Trade and other payables	21	97,647,020	118,337,918
Borrowings	13	55,914,775	286,569,281
Provision for liabilities and charges	22	10,850,000	5,350,000
		164,411,795	410,257,199
Net current (liabilities)		(100,425,832)	(277,562,588)
		338,665,705	359,038,492

The financial statements on pages 14 to 49 were authorised for issue by the Board of Directors on 29 April, 2013 and were signed on its behalf by:



DIRECTOR



DIRECTOR

The significant accounting policies on pages 22 to 29 and the notes on pages 30 to 49 form an integral part of these financial statements.

Report of the independent auditor - page 13.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2012

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2012

	Notes	Share Capital Shs	Share Premium Shs	Revaluation Reserve Shs	Retained Earnings/ (Deficit) Shs	Shareholders Funds Shs	Non-Controlling Interest Shs	Total Equity Shs
Year ended 31 December 2011								
At start of year		177,018,950	10,501,719	120,448,000	88,401,000	396,369,669	(12,006,000)	384,363,669
Total (loss) for the year		-	-	-	(225,811,838)	(225,811,838)	(3,276,275)	(229,088,113)
Transfer of excess depreciation	12	-	-	(3,157,000)	3,157,000	-	-	-
Deferred tax on excess depreciation transfer	12	-	-	947,000	(947,000)	-	-	-
At end of year		177,018,950	10,501,719	118,238,000	(135,200,838)	170,557,831	(15,282,275)	155,275,556
Year ended 31 December 2012								
At start of year		177,018,950	10,501,719	118,238,000	(135,200,838)	170,557,831	(15,282,275)	155,275,556
Changes in ownership interests in subsidiaries:								
• realization on disposal of subsidiary	-	-	-	(15,282,275)	(15,282,275)	15,282,275	-	-
• opening retained earnings realized on disposal of subsidiary	-	-	-	29,983,646	29,983,646	-	29,983,646	-
Total profit for the year		-	-	-	13,027,575	13,027,575	-	13,027,575
Transfer of excess depreciation	12	-	-	(3,157,000)	3,157,000	-	-	-
Deferred tax on excess depreciation transfer	12	-	-	947,000	(947,000)	-	-	-
Revaluation reserve realized on disposal of buildings	12	-	-	(41,758,867)	41,758,867	-	-	-
Deferred tax reversal on disposal	12	-	-	12,527,660	(12,527,660)	-	-	-
At end of year		177,018,950	10,501,719	86,796,793	(76,030,685)	198,286,777	-	198,286,777

The significant accounting policies on pages 22 to 29 and the notes on pages 30 to 49 form an integral part of these financial statements.
Report of the independent auditor - page 13.

	Notes	Share Capital Shs	Share Premium Shs	Revaluation Reserve Shs	Retained Earnings/ (Deficit) Shs	Total Equity Shs
Year ended 31 December 2011						
At start of year		177,018,950	10,501,719	120,448,000	104,547,517	412,516,186
Total (loss) for the year		-	-	-	(222,933,207)	(222,933,207)
Transfer of excess depreciation	12	-	-	(3,157,000)	3,157,000	-
Deferred tax on excess depreciation transfer	12	-	-	947,000	(947,000)	-
At end of year		177,018,950	10,501,719	118,238,000	(116,175,690)	189,582,979
Year ended 31 December 2012						
At start of year		177,018,950	10,501,719	118,238,000	(116,175,690)	189,582,979
Total profit for the year		-	-	-	13,251,375	13,251,375
Transfer of excess depreciation	12	-	-	(3,157,000)	3,157,000	-
Deferred tax on excess depreciation transfer	12	-	-	947,000	(947,000)	-
Revaluation reserve realized on disposal of buildings	12	-	-	(41,758,867)	41,758,867	-
Deferred tax reversal on disposal	12	-	-	12,527,660	(12,527,660)	-
At end of year		177,018,950	10,501,719	86,796,793	(71,483,108)	202,834,354

The significant accounting policies on pages 22 to 29 and the notes on pages 30 to 49 form an integral part of these financial statements.
Report of the independent auditor - page 13.

CONSOLIDATED STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2012

COMPANY STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 31 DECEMBER 2012

	Notes	2012 Shs	2011 Shs
Operating Activities			
Cash from operations	23	30,860,400	32,510,196
Interest paid		(32,449,767)	(70,414,804)
Tax paid		(2,470,373)	(4,484,306)
Net cash (used in) operating activities		(4,059,740)	(42,388,914)
Investing Activities			
Interest income		-	5,547,920
Additions to property, plant and equipment	15	(193,000)	(282,300)
Proceeds from disposal of investment property		-	373,287,022
Adjustment on disposal of subsidiary		29,983,646	-
Proceeds from disposal of property, plant and equipment		244,889,496	37,080,000
Net cash from investing activities		274,680,142	415,632,642
Financing Activities			
Net movement in borrowings		(75,659,143)	(316,589,447)
Net cash (used in) financing activities		(75,659,143)	(316,589,447)
Increase in cash and cash equivalents		194,961,259	56,654,281
Movement in Cash and Cash Equivalents			
At start of year		(203,061,488)	(234,090,960)
Increase in cash and cash equivalents		194,961,259	56,654,281
Effect of exchange rate changes		2,695,897	(25,624,809)
At end of year	20	(5,404,332)	(203,061,488)

The significant accounting policies on pages 22 to 29 and the notes on pages 30 to 49 form an integral part of these financial statements.

Report of the independent auditor - page 13.

	Notes	2012 Shs	2011 Shs
Operating Activities			
Cash from operations	23	30,099,396	189,539,991
Interest paid		(32,449,767)	(54,843,151)
Tax paid		(2,470,373)	(5,311,989)
Net cash (used in) operating activities		(4,820,744)	129,384,851
Investing Activities			
Additions to property, plant and equipment	15	(193,000)	(282,300)
Proceeds from disposal of subsidiary		490,000	-
Proceeds from disposal of property, plant and equipment		244,886,250	37,080,000
Net cash from investing activities		245,183,250	36,797,700
Financing Activities			
Net movement in borrowings		(42,471,787)	(127,509,738)
Net cash (used in) financing activities		(42,471,787)	(127,509,738)
Increase in cash and cash equivalents		197,890,719	38,672,813
Movement in Cash and Cash Equivalents			
At start of year		(205,990,948)	(234,824,998)
Increase in cash and cash equivalents		197,890,719	38,672,813
Effect of exchange rate changes		2,695,897	(9,838,763)
At end of year	20	(5,404,332)	(205,990,948)

The significant accounting policies on pages 22 to 29 and the notes on pages 30 to 49 form an integral part of these financial statements.

Report of the independent auditor - page 13.

SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

A) BASIS OF PREPARATION

The consolidated financial statements are prepared on the historical cost basis in accordance with International Financial Reporting Standards (IFRS), as modified by the revaluation of certain items of property, plant and equipment in line with the requirements of International Accounting Standard 16 (IAS 16) on Property, plant and equipment.

These financial statements comply with the requirements of the Companies Act (Cap. 486). The statement of profit or loss represents the profit and loss account referred to in the Act. The statement of financial position represents the balance sheet referred to in the Act.

(i) New and Amended Standards Adopted By The Group

International Accounting Standard 1 (IAS 1) on 'Presentation of Financial Statements': the amendments have introduced new terminology for the 'statement of comprehensive income' and the 'income statement'. Under these amendments, the 'statement of comprehensive income' has been renamed to the 'statement of profit or loss and other comprehensive income' and the 'income statement' has been renamed the 'statement of profit or loss'.

(ii) New Standards, Amendments and Interpretations Issued But Not Yet Effective

- International Financial Reporting Standard (IFRS 9) on 'Financial Instruments: Classification and Measurement' - The standard will replace the areas in International Accounting Standard 39 (IAS 39) that relate to classification and measurement of financial assets. Adoption is mandatory from 1 January 2015 although early adoption is permissible.
The group is yet to assess the full impact that IFRS 9 shall have on its consolidated financial statements.
- International Financial Reporting Standard (IFRS 10) on 'Consolidated Financial Statements' builds on existing principles by identifying the concept of control as the determining factor in whether an entity should be included within the consolidated financial statements of the parent company. The standard provides additional guidance to assist in the determination of control where this is difficult to assess. The group has assessed the impact of implementing IFRS 10 and expects no significant change in the method of accounting.
- International Financial Reporting Standard (IFRS 13) on 'Fair Value Measurement' - The standard aims to improve consistency and reduce complexity by providing a more precise definition and a single source of measurement and disclosure requirements. Adoption is mandatory from 1 January 2013 although early adoption is permissible.

The group has not assessed the potential impact of IFRS 13 on its financial statements.

SIGNIFICANT ACCOUNTING POLICIES [continued]

Impact of Other Standards and Interpretation:

The directors anticipate that the adoption of other standards, amendments and interpretations will have no material impact on the financial statements of the Group.

B) SEGMENTAL REPORTING

An operating segment is a component of the group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the group's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

C) ACCOUNTING ESTIMATES AND JUDGEMENTS

The group's consolidated financial statements and its financial results are influenced by its accounting policies and the assumptions, estimates and judgements made by management.

These estimates, assumptions and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the prevailing circumstances.

i) Key Sources of Estimation Uncertainty

- **Useful lives of property, plant and equipment:** Management reviews the useful lives and residual values of the items of property, plant and equipment on a regular basis. During the financial year, the directors determined no significant changes in the useful lives and residual values.

ii) Critical Judgements in Applying the Group's Accounting Policies

Management has made the following judgements that are considered to have the most significant effect on the amounts recognized in the consolidated financial statements:

- **Impairment of trade receivables:** The group reviews their portfolio of trade receivables on an annual basis. In determining whether receivables are impaired, the management makes judgement as to whether there is any evidence indicating that there is a measurable decrease in the estimated future cash flows expected.
- **Tax losses:** The company has not recognized deferred tax assets on tax losses. In determining whether these tax losses will be utilized, the management makes judgement as to whether these will be utilized before they are forfeited based on the requirement of the Income Tax Act.

D) CONSOLIDATION

Subsidiaries are all entities (including special purpose entities) over which the group has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the group controls another entity.

SIGNIFICANT ACCOUNTING POLICIES [continued]

The group also assesses the existence of control where it does not have more than 50% of the voting rights power but is able to govern the financial and operating policies of a subsidiary. Control may arise in circumstances where the size of the group's voting rights relative to the size and dispersion of holdings of other shareholders give the group the power to govern the financial and operating policies, etc.

Income and expenses of subsidiaries acquired or disposed of during the year are included in the consolidated statement of profit or loss from the effective date of acquisition and up to the effective date of disposal as appropriate. Total profit or loss of subsidiaries is attributed to the owners of the company and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

The group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date.

The group recognizes any non-controlling interest in the acquiree on an acquisition by acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognized amounts of acquiree's identifiable net assets.

Subsidiaries are fully consolidated from the date at which the company starts controlling them and are de-consolidated from the date that control ceases.

Inter-company transactions, balances and unrealized gains on transactions between the group companies are eliminated. Unrealized losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Where necessary, accounting policies of subsidiaries have been changed to ensure consistency with the policies adopted by the group.

E) REVENUE RECOGNITION

Revenue comprises the fair value of the consideration received or receivable for the performance of services, in the ordinary course of business and is stated net of Value Added Tax (VAT), rebates and discounts, after eliminating sales within the group.

The group recognizes revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the entity and when the specific criteria have been met for each of the groups's activities as described below. The amount of revenue is not considered to be reliably measured until all contingencies relating to the sale have been resolved. The group bases its estimates on historical results, taking into consideration the type of customer, type of transaction and specifics of each arrangement.

SIGNIFICANT ACCOUNTING POLICIES [continued]

- Sales of services are recognized upon performance of the services rendered.
- Interest income is accounted for in the period in which it is earned.
- Rental income is accrued by reference to time on a straight line basis over the lease term.

F) PROPERTY, PLANT AND EQUIPMENT

All property, plant and equipment is initially recorded at cost and thereafter stated at historical cost less depreciation. Historical cost comprises expenditure initially incurred to bring the asset to its location and condition ready for its intended use.

Buildings are subsequently shown at market value, based on periodic, but at least triennial valuations by external independent valuers, less subsequent depreciation. Any accumulated depreciation at the date of revaluation is eliminated against the gross carrying amount of the asset, and the net amount is restated to the revalued amount of the asset.

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost can be reliably measured. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.

Increases in the carrying amount arising on revaluation are credited to other comprehensive income. Decreases that offset previous increases of the same asset are charged to other comprehensive income; all other decreases are charged to profit or loss. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to profit or loss) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Freehold land is not depreciated.

Leasehold land is depreciated over the remaining period of the lease.

Capital work in progress relates to borehole drilling and land improvement that have not been completed. Capital work in progress is not depreciated.

Depreciation on all other assets is calculated on a straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over their estimated useful life as follows:

Buildings	50 years
Plant and machinery	8 years
Furniture, fittings and equipment	8 years
Motor vehicles	5 years
Computer, faxes and copiers	3 1/3 years
Beer containers	4 years

SIGNIFICANT ACCOUNTING POLICIES [continued]

The assets residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by comparing the proceeds with the carrying amount and are taken into account in determining operating profit/(loss). On disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to retained earnings in the statement of changes in equity.

G) TRANSLATION OF FOREIGN CURRENCIES

- **Functional and presentation currency:** Items included in the financial statements of each of the group entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings.
- **Transactions and balances:** Transactions in foreign currencies during the year are converted into Kenya Shillings (the functional currency), at rates ruling at the transaction dates. Assets and liabilities at the reporting date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in profit or loss in the year in which they arise.

H) INVESTMENT PROPERTY

Investment property is a long-term investment in building that is not occupied substantially for own use. Investment property is initially recognized at cost and subsequently carried at fair value representing open market value at the reporting date. Changes in fair value are recorded in profit or loss.

Subsequent expenditure on investment property where such expenditure increases the future economic value in excess of the original assessed standard of performance is added to the carrying amount of the investment property. All other expenditure is recognized in profit or loss in the year which it is incurred.

The property's residual value and useful life is reviewed, and adjusted if appropriate, at the end of each reporting period.

The property's carrying amount is written down immediately to its recoverable amount if the carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of investment property are determined by reference to their carrying amount and are taken into account in determining operating profit/(loss).

I) FINANCIAL INSTRUMENTS

Financial assets and liabilities are recognized when the group becomes a party to the contractual provisions of the instrument. Management determines the classification of financial instruments at the time of initial recognition.

SIGNIFICANT ACCOUNTING POLICIES [continued]

Financial Assets

The group's financial assets which include trade and other receivables, cash and bank balances and tax recoverable fall into the following category:

- **Loans and receivables:** Financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are classified as current assets where maturities are within 12 months of the date of this report. All assets with maturities greater than 12 months after the date of this report are classified as non-current assets. Subsequent to initial recognition, they are carried at amortized cost using the effective interest method. Changes in the carrying amount are recognized in profit or loss.

Purchases and sales of financial assets are recognized on the trade date i.e. the date on which the group commits to purchase or sell the asset.

Financial assets are initially recognized at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

Financial assets are derecognized when the rights to receive cash flows from the assets have expired or have been transferred and the group has transferred substantially all risks and rewards of ownership.

A financial asset is impaired if its carrying amount is greater than its estimated recoverable amount. Impairment of financial assets is recognized in profit or loss under administrative expenses when there is objective evidence that the group will not be able to collect all amounts due per the original terms of the contract. Significant financial difficulties of the issuer, probability that the issuer will enter bankruptcy or financial reorganization, default in payments and a prolonged decline in the fair value of the asset are considered indicators that the asset is impaired.

The amount of the impairment loss is calculated at the difference between the assets carrying amount and the present values of expected future cash flows, discounted at the financial asset's effective interest rate.

Subsequent recoveries of amounts previously written off/impaired are credited to profit or loss in the year in which they occur.

Financial Liabilities

The group's financial liabilities which include borrowings and trade and other payables fall into the following category:

- **Financial liabilities measured at amortized cost:** These are initially measured at fair value and subsequently measured at amortized cost, using the effective interest rate method.

All financial liabilities are classified as current liabilities unless the group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

SIGNIFICANT ACCOUNTING POLICIES [continued]

Borrowings are initially recognized at fair value, net of transaction costs incurred and are subsequently stated at amortized cost. Any difference between the proceeds (net of transaction costs) and the redemption value is recognized as interest expense in profit or loss under finance costs.

Financial liabilities are derecognized when, and only when, the group's obligations are discharged, cancelled or expired.

Offsetting Financial Instruments

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when there is a legally enforceable right to offset the amounts and there is an intention to settle on a net basis, or realize the asset and settle the liability simultaneously.

J) CASH AND CASH EQUIVALENTS

For the purposes of the statement of cash flows, cash and cash equivalents comprise cash in hand and deposits held at call with banks, net of bank overdrafts.

In the statement of financial position, bank overdrafts are included within borrowings in current liabilities.

K) SHARE CAPITAL

Ordinary shares are classified as equity.

L) DIVIDENDS

Proposed dividends are disclosed as a separate component of equity until declared.

Dividends are recognized as a liability in the period in which they are approved by the group's shareholders.

M) TAXATION

The tax expense for the period comprises current and deferred tax. Tax is recognized in profit or loss.

Current Tax

Current tax is provided on the results for the year, adjusted in accordance with tax legislation.

Deferred tax

Deferred tax is provided using the liability method for all temporary timing differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently, enacted tax rates are used to determine deferred tax. Deferred tax assets are recognized only to the extent that it is probable that future taxable profits will be available against which temporary timing differences can be utilized.

SIGNIFICANT ACCOUNTING POLICIES [continued]

N) ACCOUNTING FOR LEASES

The Company As A Lessee:

Leases of assets under which a significant portion of the risks and rewards of ownership are effectively retained by the lessor are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight line basis over the period of the lease.

Leases of property, plant and equipment, where the group assumes substantially all the risks and rewards of ownership, are classified as finance leases. Finance leases are capitalized at cost. Each lease payment is allocated between the liability and finance charges. The interest element is charged to profit or loss over the lease period and is included under finance costs. Such property, plant and equipment is depreciated over its useful life.

The Company As Lessor

Assets leased to third parties under operating leases are included in property, plant and equipment in the statement of financial position.

Leased assets are recorded at historical cost less depreciation.

Depreciation is calculated on the straight line basis to write down the cost of leased assets to their residual values over their estimated useful life using annual rates consistent with the normal depreciation policies for similar assets under property, plant and equipment.

Gains and losses on disposal of leased assets are determined by reference to their carrying amount and are taken into account in determining operating profit/(loss).

O) RETIREMENT BENEFIT OBLIGATIONS

The group operates a defined contribution staff retirement benefit scheme for its permanent and pensionable employees. The scheme is administered by an insurance company. The group's contributions to the defined contribution retirement benefit scheme are charged to profit or loss in the year to which they relate.

The group and its employees contribute to the National Social Security Fund (NSSF), a statutory defined contribution scheme registered under the NSSF Act. The group's contributions to the defined contribution scheme are charged to profit or loss in the year to which they relate.

P) COMPARATIVES

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

1. BASIS OF PREPARING THE FINANCIAL STATEMENTS

At the reporting date, current liabilities exceeded current assets by Shs. 97,505,148 (2011: Shs. 271,816,870) and the group had accumulated losses of Shs. 76,030,685 (2011: Shs. 135,200,838).

The directors consider it appropriate to prepare the financial statements on a going concern basis, which assumes that the group will continue in operation in the foreseeable future.

During the previous year, the group's main customer terminated its transport contract. As a result of this, the directors have implemented the following in order to reduce overall gearing ratio levels (Note 27):

- Hired out part of the group's transport fleet so as to generate cash flows to meet finance lease liabilities due to its bankers.
- Restructured the group's operational structure internally with an aim of reducing expenses and creating efficiencies.
- Disposed off a parcel of land in Mombasa during the year to reduce the bank liabilities.

The validity of the going concern assumption is based on the continuation of the restructuring plans, successfully implementing the same and that the group has neither the intention nor the need to liquidate or materially curtail the scale of its current operations.

2. SEGMENT INFORMATION

The group has three reportable segments which are the strategic business units offering different services and managed jointly. The operations of each reportable segment are as follows:

- **Transport:** includes distribution of products to various parts of the country on behalf of customers
- **Freight:** handling of customers goods in and out of the country
- **Others:** includes storage of customers' goods in the company's warehouse.

For each of the strategic business units, the Managing Director reviews internal management reports. Information regarding the results of each reportable segment is described below. Performance is measured based on each segment's gross margin contribution as indicated in the internal management reports that are reviewed by the Managing Director.

2. SEGMENT INFORMATION [continued]

The segment results are as follows:

Year ended 31 December 2012	Transport Shs	Freight Shs	Others Shs	Total Shs
Revenue	120,790,588	49,958,753	59,158,374	229,907,716
Direct costs	(95,115,385)	(39,481,858)	(44,865,748)	(179,462,990)
Gross profit	25,675,204	10,476,896	14,292,627	50,444,726
Other operating income				197,731,175
Impairment of other receivables				(2,546,840)
Operating and administrative expenses				(95,469,193)
Impairment of property, plant and equipment				(61,539,338)
Depreciation on property, plant and equipment				(72,102,871)
Profit from operations				16,517,659
Finance costs				(29,753,870)
(Loss) before tax				(13,236,211)
Tax charge				26,263,786
Profit for the year				13,027,575

Year ended 31 December 2011	Transport Shs	Freight Shs	Others Shs	Total Shs
Revenue	262,440,494	66,224,546	121,658,939	450,323,979
Direct costs	(247,922,775)	(53,986,291)	(46,019,841)	(347,928,907)
Gross profit	14,517,719	12,238,255	75,639,098	102,395,072
Other operating income				54,774,334
Impairment of other receivables				(10,010,000)
Impairment of goodwill				(46,000,000)
Operating and administrative expenses				(108,056,287)
Impairment of property, plant and equipment				(35,343,352)
Depreciation on property, plant and equipment				(81,088,285)
(Loss) from operations				(123,328,518)
Finance costs				(99,026,279)
(Loss) before tax				(222,354,797)
Tax charge				(6,733,316)
(Loss) for the year				(229,088,113)

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER 2012

2. SEGMENT INFORMATION [continued]

Other segment items included in profit or loss are:

	Transport Shs	Freight Shs	Others Shs	Total Shs
Year ended 31 December 2012				
Depreciation on property, plant and equipment	62,684,776	2,884,115	6,533,980	72,102,871
Impairment of trade receivables	-	-	2,546,840	2,546,840

Year ended 31 December 2011

Depreciation on property, plant and equipment	70,370,611	2,926,064	7,791,610	81,088,285
Impairment of trade receivables	-	-	40,000	40,000

The segment assets, liabilities and capital expenditure for the period then ended are as follows:

	Transport Shs	Freight Shs	Others Shs	Total Shs
Year ended 31 December 2012				
Assets	229,440,810	18,729,862	220,075,879	468,246,551
Liabilities	153,658,941	14,341,501	36,878,146	204,878,588

Capital expenditure:

• additions to property, plant and equipment	-	-	193,000	193,000
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Year ended 31 December 2011

Assets	362,404,886	32,542,480	344,654,443	739,601,808
Liabilities	367,066,944	33,167,792	89,675,882	489,910,618

Capital expenditure:

• additions to property, plant and equipment	-	-	282,300	282,300
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Segment assets comprise primarily property, plant and equipment, investment property, intangible assets, trade and other receivables and operating cash and bank balances. They exclude deferred tax and tax recoverable.

Segment liabilities comprise operating liabilities and corporate borrowings.

Capital expenditure comprises additions to property plant and equipment.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER 2012

3. SALES

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Income	220,230,130	429,301,242	220,230,130	429,301,242
Rental income	9,677,586	21,022,737	9,677,586	-
	229,907,716	450,323,979	229,907,716	429,301,242

4. OTHER OPERATING INCOME

Gain on disposal of property, plant and equipment	180,826,913	31,150,154	180,826,913	31,150,154
Gain on disposal of subsidiary	489,000	-	489,000	-
Gain on disposal of investment property	-	8,287,022	-	-
Miscellaneous income	14,181,305	9,789,238	14,181,305	9,789,238
Insurance claims	2,233,957	-	2,233,957	-
Interest received	-	5,547,920	-	-
	197,731,175	54,774,334	197,731,175	40,939,392

5. OPERATING PROFIT/(LOSS)

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
The following items have been charged/ (credited) in arriving at operating profit/(loss):				
Depreciation on property, plant and equipment (Note 15)	72,102,871	81,088,285	72,102,871	81,084,572
(Gain) on disposal of property, plant and equipment	(180,826,913)	(31,150,154)	(180,826,913)	(31,150,154)
(Gain) on disposal of investment property	-	(8,287,022)	-	-
Auditors' remuneration				
• current year	1,869,600	2,679,600	1,800,000	2,500,000
• (over)/under provision in prior years	(829,014)	1,907,900	(829,014)	1,905,000
Directors remuneration	18,550,039	18,470,000	18,550,039	18,470,000
Operating lease rentals	16,462,105	10,926,717	16,462,105	13,459,355
Repairs and maintenance	2,602,294	2,792,592	2,602,294	2,792,592
Bad debts	-	40,000	-	40,000
Bad debt provisions	2,546,840	-	2,546,840	-
Impairment of goodwill (Note 17)	-	46,000,000	-	-
Impairment on property, plant and equipment	61,539,338	35,343,352	61,539,338	35,343,352
Impairment of investment in subsidiary	-	-	-	46,489,000
Staff costs (Note 6)	49,305,854	78,705,175	49,305,854	78,705,175

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER 2012

6. STAFF COSTS

	GROUP		COMPANY	
	2012	2011	2012	2011
	Shs	Shs	Shs	Shs
Salaries and wages:				
• direct costs	28,457,703	52,585,931	28,457,703	52,585,931
• administrative	18,214,939	21,422,678	18,214,939	21,422,678
Staff welfare and other costs	1,676,059	3,150,854	1,676,059	3,150,854
Pension costs:				
National Social Security Fund	258,800	470,800	258,800	470,800
• defined contribution scheme	698,353	1,074,912	698,353	1,074,912
	49,305,854	78,705,175	49,305,854	78,705,175

7. FINANCE COSTS

Net foreign exchange (gain)/loss	(2,695,897)	25,624,809	(2,695,897)	9,838,763
Interest expense:				
• bank borrowings and overdraft	11,918,236	33,854,166	11,918,236	18,282,513
• cheque and invoice discounting	-	3,996,178	-	3,996,178
• finance leases	20,531,531	32,564,460	20,531,531	32,564,460
• related party borrowings	-	2,986,666	-	-
	29,753,870	99,026,279	29,753,870	64,681,914

8. IMPAIRMENT PROVISIONS

Impairment of goodwill (Note 17)	-	46,000,000	-	-
Impairment of investment in subsidiary	-	-	-	46,489,000
Impairment of other receivables	-	10,010,000	-	10,010,000
	-	56,010,000	-	56,499,000

9. TAX

Current tax	2,903,276	1,664,376	2,903,276	-
Deferred tax (credit)/charge (Note 14)	(29,167,062)	5,068,940	(29,167,062)	5,068,940
	(26,263,786)	6,733,316	(26,263,786)	5,068,940

The tax on the groups's (loss) before tax differs from the theoretical amount that would arise using the basic rate as follows:

(Loss) before tax	(13,236,211)	(222,354,797)	(13,012,411)	(217,864,267)
Tax calculated at a tax rate of 30% (2011: 30%)	(3,970,863)	(66,706,439)	(3,903,723)	(65,359,280)

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER 2012

	GROUP		COMPANY	
	2012	2011	2012	2011
	Shs	Shs	Shs	Shs
Tax effect of:				
• expenses not deductible for tax purposes	3,794,855	32,450,500	3,727,715	29,489,905
• income not subject to tax	(54,394,774)	-	(54,394,774)	-
• other permanent differences	1,104,286	(2,004,625)	1,104,286	(2,004,625)
• tax loss brought forward	(53,947,034)	(11,004,093)	(53,947,034)	(11,004,093)
• tax loss carried forward	80,385,692	53,997,974	80,385,692	53,947,034
Tax (credit)/charge	(27,027,838)	6,733,316	(27,027,838)	5,068,940

10. BASIC AND DILUTED EARNINGS/(LOSS) PER SHARE

The basic and diluted earnings/(loss) per share is calculated by dividing the net profit/(loss) attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	GROUP		COMPANY	
	2012	2011	2012	2011
	Shs	Shs	Shs	Shs
Net profit/(loss) attributable to shareholders (Shs.)	13,027,575	(229,088,113)	13,251,375	(222,933,207)
Number of ordinary shares (number)	35,403,790	35,403,790	35,403,790	35,403,790
Basic and diluted earnings/(loss) per share (Shs.)	0.37	(6.47)	0.37	(6.30)

	GROUP & COMPANY	
	2012	2011

11. SHARE CAPITAL

Authorised:

250,000,000 (2011: 43,200,000) ordinary shares of Shs. 5 each	1,250,000,000	216,000,000
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Issued and fully paid:

35,403,790 (2011: 35,403,790) ordinary shares of Shs. 5 each	177,018,950	177,018,950
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12. REVALUATION RESERVE

At start of year	118,238,000	120,448,000
Realized on disposal	(41,758,867)	-
Deferred tax reversal on disposal	12,527,660	-
Transfer of excess depreciation	(3,157,000)	(3,157,000)
Deferred tax on excess depreciation transfer (Note 14)	947,000	947,000
At end of year	86,796,793	118,238,000

The revaluation reserve arose upon the revaluation of buildings. The reserve is not distributable.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER 2012

13. BORROWINGS

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Non-current				
Finance leases	15,223,762	47,844,576	15,223,762	47,844,576
Borrowings from related parties (Note 24)	28,163,714	-	28,163,714	-
Borrowings from directors (Note 24)	-	32,587,129	-	-
	43,387,476	80,431,705	43,387,476	47,844,576
Current				
Finance leases	31,131,130	69,145,755	31,131,130	69,145,755
Bank overdraft (Note 20)	24,783,645	217,423,526	24,783,645	217,423,526
	55,914,775	286,569,281	55,914,775	286,569,281
Total borrowings	99,302,251	367,000,986	99,302,251	334,413,857

The bank borrowings, overdraft and finance leases are secured by the following:

- Legal charge over L.R. No. 12596/1 for Shs. 300 million.
- Finance lease are secured by a right over the leased assets.
- Fixed and floating debentures for Shs. 200 million over all assets of the company.

Borrowings from directors and related parties are unsecured with no fixed repayment date.

Weighted average effective interest rates at the year end were:

	GROUP		COMPANY	
	2012 %	2011 %	2012 %	2011 %
• finance leases	23.5	23.5	23.5	23.5
• related party borrowings	12	9	12	9
• bank overdraft - Kenya Shillings	23	23	23	23
• bank overdraft - United States Dollar	-	5	-	5

The borrowing facilities expiring within one year are subject to review at various dates during the next financial year.

In the opinion of the directors, the carrying amounts of borrowings approximate to their fair value.

The carrying amounts of borrowings are denominated in the following currencies:

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Kenya Shillings	99,302,251	228,515,059	99,302,251	195,927,930
United States Dollar	-	138,485,927	-	138,485,927
	99,302,251	367,000,986	99,302,251	334,413,857

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER 2012

13. BORROWINGS [continued]

Maturity based on the repayment structure of non-current borrowings (excluding finance leases) is as follows:

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Between 1 and 2 years	28,163,714	32,587,129	28,163,714	-
Finance leases - minimum lease payments:				
Not later than 1 year	31,131,130	69,145,755	31,131,130	69,145,755
Later than 1 year and not later than 5 years	15,223,762	47,844,576	15,223,762	47,844,576
Total gross finance leases	46,354,892	116,990,331	46,354,892	116,990,331

There were no undrawn facilities as at the reporting date.

14. DEFERRED TAX

Deferred tax is calculated in full, on all temporary timing differences under the liability method using a principal tax rate of 30% (2011: 30%). The movement on the deferred tax account is as follows:

	GROUP & COMPANY	
	2012	2011
At start of year	121,610,937	116,541,997
(Credit)/charge to profit or loss (Note 9)	(29,167,062)	5,068,940
At end of year	92,443,875	121,610,937

Deferred tax liabilities/(assets) and deferred tax (credit)/charge in profit or loss are attributable to the following items:

	GROUP & COMPANY		
	At start of year Shs	(Credit)/charge to profit or loss Shs	At end of year Shs
Deferred tax liabilities			
Property, plant and equipment	102,540,489	(33,862,270)	68,678,219
Revaluation surplus	29,319,000	7,879,626	37,198,626
Foreign exchange differences	2,292,448	(2,292,448)	-
	134,151,937	(28,275,092)	105,876,845
Deferred tax (assets)			
Other provisions	(12,541,000)	-	(12,541,000)
Foreign exchange differences	-	(891,970)	(891,970)
	(12,541,000)	(891,970)	(13,432,970)
Net deferred tax liability	121,610,937	(29,167,062)	92,443,875

Deferred tax assets on tax losses carried forward are only recognized to the extent of certainty of availability of sufficient future taxable profits to utilise such losses against. Deferred tax assets amounting to Shs. 81.15 million in respect of tax losses carried forward amounting to Shs. 270.49 million that can be carried forward against future taxable profits have not been recognized. Tax losses are available for offset for five years following the period they are incurred.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER 2012

15. PROPERTY, PLANT AND EQUIPMENT - GROUP

Year ended 31 December 2012

	Freehold		Leasehold		Plant and equipment		Furniture, fittings and vehicles		Motor copiers		Computers, faxes and containers		Beer progress		Capital work-in-Total	
	land	buildings	land	machinery	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs
Cost																
At start of year	30,300	281,548,205	29,764,075		30,476,051	785,459,421		37,189,737		23,007,118		14,672,344		1,202,147,251		
Additions	-	-	-	-	-	-	-	193,000		-		-		193,000		
Disposals	-	(64,489,682)	-	-	(3,249)	(66,030,803)		-		(5,634,684)		-		(136,158,418)		
At end of year	30,300	217,058,523	29,764,075		30,472,802	719,428,618		37,382,737		17,372,434		14,672,344		1,066,181,833		
Comprising																
Cost	30,300	-	29,764,075		30,472,802	719,428,618		37,382,737		17,372,434		14,672,344		849,123,310		
Valuation	-	217,058,523	-	-	-	-	-	-	-	-	-	-	-	217,058,523		
Depreciation																
At start of year	-	12,147,890	28,544,617		27,683,387	460,348,682		36,782,070		7,505,537		-		573,012,183		
Disposals	-	(12,185,861)	-	-	-	(54,343,942)		-		(5,566,032)		-		(72,095,835)		
Impairment adjustment	-	-	-	-	-	61,539,338		-		-		-		61,539,338		
Charge for the year	-	3,774,214	1,214,977		255,483	62,684,776		315,189		3,858,232		-		72,102,871		
At end of year	-	3,736,243	29,759,594		27,938,870	530,228,854		37,097,259		5,797,737		-		634,558,557		
Net book value	30,300	213,322,280	4,481		2,533,932	189,199,764		285,478		11,574,697		14,672,344		431,623,276		

Buildings were professionally valued on 31 December 2009 by independent professional valuers on the basis of open market value. The book values of the buildings were adjusted to the revaluation and the resultant surplus, net of deferred tax, was credited to the revaluation reserve.

15. PROPERTY, PLANT AND EQUIPMENT - COMPANY

Year ended 31 December 2012

	Freehold		Leasehold		Plant and equipment		Furniture, fittings and vehicles		Motor copiers		Computers, faxes and containers		Beer progress		Capital work-in-Total	
	land	buildings	land	machinery	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs	Shs
Cost																
At start of year	30,300	281,548,205	29,764,075		30,437,258	785,459,421		37,189,737		23,007,118		14,672,344		1,202,108,458		
Additions	-	-	-	-	-	-	-	193,000		-		-		193,000		
Disposals	-	(64,489,682)	-	-	-	(66,030,803)		-		(5,634,684)		-		(136,155,169)		
At end of year	30,300	217,058,523	29,764,075		30,437,258	719,428,618		37,382,737		17,372,434		14,672,344		1,066,146,289		
Comprising																
Cost	30,300	-	29,764,075		30,437,258	719,428,618		37,382,737		17,372,434		14,672,344		849,087,766		
Valuation	-	217,058,523	-	-	-	-	-	-	-	-	-	-	-	217,058,523		
30,300	217,058,523	29,764,075	30,437,258		719,428,618	37,382,737		17,372,434		14,672,344		1,066,146,289				
Depreciation																
At start of year	-	12,147,890	28,544,617		27,670,582	460,348,682		36,782,070		7,505,537		-		572,999,378		
Disposals	-	(12,185,861)	-	-	-	(54,343,942)		-		(5,566,032)		-		(72,095,835)		
Impairment adjustment	-	-	-	-	-	61,539,338		-		-		-		61,539,338		
Charge for the year	-	3,774,214	1,214,977		255,483	62,684,776		315,189		3,858,232		-		72,102,871		
At end of year	-	3,736,243	29,759,594		27,926,065	530,228,854		37,097,259		5,797,737		-		634,545,752		
Net book value	30,300	213,322,280	4,481		2,511,193	189,199,764		285,478		11,574,697		14,672,344		431,600,537		

Buildings were professionally valued on 31 December 2009 by independent professional valuers on the basis of open market value. The book values of the buildings were adjusted to the revaluation and the resultant surplus, net of deferred tax, was credited to the revaluation reserve.

15. PROPERTY, PLANT AND EQUIPMENT - GROUP

Year ended 31 December 2011

	Freehold		Leasehold		Plant and		Furniture,		Computers,		Beer		Capital	
	land	Shs	land and	Shs	machinery	Shs	fittings and	Shs	faxes and	Shs	containers	Shs	work-in-	Total
			buildings				equipment		copiers				progress	Shs
Cost														
At start of year	30,300		281,548,205		29,764,07		30,332,071		37,051,417		27,437,118		14,672,344	1,317,658,737
Additions	-		-		-		143,980		138,320		-		-	282,300
Disposals	-		-		-		-		-		(4,430,000)		-	(115,391,505)
Assets scrapped	-		-		-		-		-		-		-	(402,281)
At end of year	30,300		281,548,205		29,764,075		30,476,051		37,189,737		23,007,118		14,672,344	1,202,147,251
Comprising														
Cost			30,300		-		29,764,075		785,459,421		37,189,737		23,007,118	14,672,344
920,599,046														
Valuation	-		281,548,205		-		-		-		-		-	281,548,205
	30,300		281,548,205		29,764,075		30,476,051		37,189,737		23,007,118		14,672,344	1,202,147,251
Depreciation														
At start of year	-		8,021,517		28,063,034		27,229,219		35,933,522		10,054,519		-	566,042,204
Disposals	-		-		-		-		-		(4,429,920)		-	(109,461,658)
Impairment adjustment	-		-		-		-		-		-		-	35,343,352
Charge for the year	-		4,126,373		481,583		454,168		848,548		1,880,938		-	81,088,285
At end of year	-		12,147,890		28,544,617		27,683,387		36,782,070		7,505,537		-	573,012,183
Net book value 30,300	269,400,315		1,219,458		2,792,664		325,110,739		407,667		15,501,581		14,672,344	629,135,068

Buildings were professionally valued on 31 December 2009 by independent professional valuers on the basis of open market value. The book values of the buildings were adjusted to the revaluation and the resultant surplus, net of deferred tax, was credited to the revaluation reserve.

15. PROPERTY, PLANT AND EQUIPMENT - COMPANY

Year ended 31 December 2011

	Freehold		Leasehold		Plant and		Furniture,		Computers,		Beer		Capital	
	land	Shs	land and	Shs	machinery	Shs	fittings and	Shs	faxes and	Shs	containers	Shs	work-in-	Total
			buildings				equipment		copiers				progress	Shs
Cost														
At start of year	30,300		281,548,205		29,764,075		30,293,278		37,051,417		27,437,118		14,672,344	1,317,619,944
Additions	-		-		-		143,980		138,320		-		-	282,300
Disposals	-		-		-		-		-		(4,430,000)		-	(115,391,505)
Assets scrapped	-		-		-		-		-		-		-	(402,281)
At end of year	30,300		281,548,205		29,764,075		30,437,258		37,189,737		23,007,118		14,672,344	1,202,108,458
Comprising														
Cost			-		29,764,075		30,437,258		785,459,421		37,189,737		23,007,118	14,672,344
920,560,253														
Valuation	-		281,548,205		-		-		-		-		-	281,548,205
	30,300		281,548,205		29,764,075		30,437,258		785,459,421		23,007,118		14,672,344	1,202,108,458
Depreciation														
At start of year	-		8,021,517		28,063,034		27,220,127		35,933,522		10,054,519		-	566,033,112
Disposals	-		-		-		-		-		(4,429,920)		-	(109,461,658)
Impairment adjustment	-		-		-		35,343,352		-		-		35,343,352	
Charge for the year	-		4,126,373		481,583		450,455		848,548		1,880,938		-	81,084,572
At end of year	-		12,147,890		28,544,617		27,670,582		36,782,070		7,505,537		-	572,999,378
Net book value 30,300	269,400,315		1,219,458		2,766,676		325,110,739		407,667		15,501,581		14,672,344	629,109,080

Buildings were professionally valued on 31 December 2009 by independent professional valuers on the basis of open market value. The book values of the buildings were adjusted to the revaluation and the resultant surplus, net of deferred tax, was credited to the revaluation reserve.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER 2012

15. PROPERTY, PLANT AND EQUIPMENT CONTINUED (GROUP AND COMPANY)

All the additions made during the year were made through cash payments.

Impairment losses amounting to Shs. 61,539,338 (2011: Shs. 35,343,352) have been recognized in profit or loss under direct costs.

16. INVESTMENT PROPERTY

	GROUP	
	2012	2011
Cost		
At start of year	-	365,000,000
Disposal	-	(365,000,000)
At end of year	-	-

Investment property relates to an investment in building through Aviation Warehouse International Limited. The investment property was disposed off in 2011.

17. GOODWILL

	GROUP	
	2012	2011
At start of year	-	46,000,000
Impairment of goodwill (Note 8)	-	(46,000,000)
At end of year	-	-

The goodwill arose on the consolidation of Aviation Warehouse International Limited. The impairment loss has been included in profit or loss.

18. INVESTMENT IN SUBSIDIARIES

	Country of incorporation	Holding	At start of year Shs	Disposal Shs	At end of year Shs
Express Mombasa Limited	Kenya	100%	2,810,000	-	2,810,000
Container Services Limited	Kenya	100%	2,150,000	-	2,150,000
Airporter Limited	Kenya	100%	2,531,000	-	2,531,000
Aviation Warehouse International Limited	Kenya	-	1,000	(1,000)	-
			7,492,000	(1,000)	7,491,000

Express Mombasa Limited, Container Services Limited and Airporter Limited are dormant companies.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER 2012

19. TRADE AND OTHER RECEIVABLES

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Trade receivables	59,194,105	119,206,483	59,194,105	116,009,600
Less: impairment provisions	(52,825,931)	(50,279,091)	(52,825,931)	(50,279,091)
Net trade receivables	6,368,174	68,927,392	6,368,174	65,730,509
Prepayments and deposits	6,127,658	7,830,392	6,127,658	7,830,392
Other receivables	1,369,256	6,806,426	1,369,256	6,428,822
Receivable from related parties (Note 24)	3,378,874	12,540,492	3,378,874	13,476,778
	17,243,962	96,104,702	17,243,962	93,466,501
Movement in impairment provisions				
At start of year	50,279,091	60,531,091	50,279,091	60,531,091
Additions	8,303,345	-	8,303,345	-
Reversals/write offs	(5,756,505)	(10,252,000)	(5,756,505)	(10,252,000)
At end of year	52,825,931	50,279,091	52,825,931	50,279,091

The carrying amounts of trade and other receivables are denominated in the following currencies:

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Kenyan Shilling	8,133,421	87,120,207	8,133,421	84,482,006
United States Dollar	9,110,541	8,984,495	9,110,541	8,984,495
	17,243,962	96,104,702	17,243,962	93,466,501

In the opinion of the directors, the carrying amounts of trade and other receivables approximate to their fair value.

The group's credit risk arises primarily from trade receivables and receivables from related parties. The directors are of the opinion that the group's exposure is limited because the debt is widely held. There is no significant concentration of credit risk.

Trade receivables that are over three months due are considered past due.

As of 31 December 2012, trade receivables amounting to Shs. 5,181,657 (2011: Shs. 12,298,804) were past due. The directors have made a provision for the portion of the receivable whose recovery is in doubt.

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
The ageing analysis of these trade receivables is as follows:				
4 to 12 months	5,181,657	12,298,804	5,181,657	12,298,804

The other classes within trade and other receivables do not contain impaired assets.

The maximum exposure to credit risk at the reporting date is the fair value of each class of receivable mentioned above. The group does not hold any collateral as security.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER 2012

20. CASH AND CASH EQUIVALENTS

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Cash at bank and in hand	19,379,313	14,362,038	19,379,313	11,432,578

For the purposes of the statement of cashflows, the year-end cash and cash equivalents comprise the following:

Cash and bank balances	19,379,313	14,362,038	19,379,313	11,432,578
Bank overdraft (Note 13)	(24,783,645)	(217,423,526)	(24,783,645)	(217,423,526)
	(5,404,332)	(203,061,488)	(5,404,332)	(205,990,948)

The carrying amounts of cash and cash equivalents are denominated in the following currencies:

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Kenya Shillings	19,180,847	14,133,537	19,180,847	11,204,077
United States Dollar	198,466	228,501	198,466	228,501
	19,379,313	14,362,038	19,379,313	11,432,578

21. TRADE AND OTHER PAYABLES

Trade payables	27,134,452	55,087,954	27,086,452	54,929,954
Accruals	8,133,510	20,083,992	8,133,510	20,083,992
Other payables	23,891,279	22,443,715	23,891,279	20,180,018
Payable to related parties (Note 24)	25,527,096	19,943,971	28,495,779	23,143,954
Amount due to directors (Note 24)	10,040,000	-	10,040,000	-
	94,726,337	117,559,632	97,647,020	118,337,918

In the opinion of the directors, the carrying amounts of trade and other payables approximate to their fair value.

The carrying amounts of the group's trade and other payables are denominated in the following currencies:

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Kenya Shillings	91,790,975	114,732,298	94,711,658	115,510,584
United States Dollar	2,349,802	2,362,216	2,349,802	2,362,216
Euro	370,598	247,687	370,598	247,687
Danish Kroner	177,004	177,004	177,004	177,004
Canadian Dollar	37,958	40,427	37,958	40,427
	94,726,337	117,559,632	97,647,020	118,337,918

The maturity analysis of trade and other payables is within 12 months.

NOTES TO THE FINANCIAL STATEMENTS continued

FOR THE YEAR ENDED 31 DECEMBER 2012

22. PROVISION FOR LIABILITIES AND CHARGES

	GROUP & COMPANY	
	2012 Shs	2011 Shs
Provision for legal claims	10,850,000	5,350,000

The provisions for legal claims arose due to current litigations being handled by the company lawyers and are expected to be paid out. In the opinion of the directors, it is not possible to estimate the timing when payments will be made.

23. CASH FROM OPERATIONS

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Reconciliation of (loss) before tax to cash from operations				
(Loss) before tax	(13,236,211)	(222,354,797)	(13,012,411)	(217,864,267)
Adjustments for:				
Depreciation on property, plant and equipment (Note 15)	72,102,871	81,088,285	72,102,871	81,084,572
Assets scrapped (Note 15)	-	402,281	-	402,281
Impairment on property, plant and equipment (Note 15)	61,539,338	35,343,352	61,539,338	35,343,352
(Gain) on disposal of property, plant and equipment	(180,826,913)	(31,150,154)	(180,826,913)	(31,150,154)
(Gain) on disposal of investment property	-	(8,287,022)	-	-
(Gain) on disposal of subsidiary	-	-	(489,000)	-
Interest expense	32,449,767	70,414,804	32,449,767	54,843,151
Impairment provisions (Note 8)	-	46,000,000	-	46,489,000
Interest received	-	(5,547,920)	-	-
Net foreign exchange (gain)/loss	(2,695,897)	25,624,809	(2,695,897)	9,838,763
Provision for charges and liabilities (Note 22)	5,500,000	5,350,000	5,500,000	5,350,000
Changes in working capital:				
• inventories	-	2,418,357	-	2,418,357
• trade and other receivables	78,860,740	51,901,002	76,222,539	208,857,999
• trade and other payables	(22,833,295)	(18,692,801)	(20,690,898)	(6,073,063)
Cash from operations	30,860,400	32,510,196	30,099,396	189,539,991

24. RELATED PARTY TRANSACTIONS AND BALANCES

The company is controlled by Etcoville Holdings Limited incorporated in Kenya, which owns 60% of the company's shares. The remaining 40% of the shares are widely held. The ultimate parent company is Etcoville Investments Limited.

The following transactions were carried out with related parties:

	GROUP	
	2012 Shs	2011 Shs
i) Sale of services to related parties		
Flowerwings Kenya Limited	32,384	266
Truck Mart East Africa Limited	5,462,468	27,562,172
Airport Trade Centre Limited	-	9,694
Diniz Holdings Limited	-	30,000
	5,494,852	27,602,132
ii) Purchase of goods and services		
Flowerwings Kenya Limited	11,035,076	16,752,127
Diniz Holdings Limited	858,400	-
Truck Mart East Africa Limited	-	3,172,692
Airport Trade Centre Limited	11,313,360	17,858,446
	23,206,836	37,783,265
iii) Key management compensation		
Directors remuneration	18,550,039	18,470,000

iv) Outstanding balances arising from sale of services

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Receivable from related parties (Note 19)				
Aviation Warehouse International Limited	-	-	-	936,286
Truck Mart East Africa Limited	1,341,434	10,702,078	1,341,434	10,702,078
Etcoville Holdings Limited	1,434,271	1,293,271	1,434,271	1,293,271
Etcoville Investments Limited	603,169	516,769	603,169	516,769
Flowerwings Kenya Limited	-	28,374	-	28,374
	3,378,874	12,540,492	3,378,874	13,476,778

24. RELATED PARTY TRANSACTIONS AND BALANCES [continued]

v) Outstanding balances arising from purchase of goods and services

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Payable to related parties (Note 21)				
Truck Mart East Africa Limited	-	15,427,217	-	15,427,217
Airport Trade Centre Limited	14,573,170	4,447,154	14,573,170	4,447,154
Diniz Holdings Limited	30,800	-	30,800	-
Flowerwings Kenya Limited	10,853,526	-	10,853,526	-
Airporter Limited	23,200	23,200	820,731	904,431
Container Services Limited	23,200	23,200	1,793,352	1,888,652
Express Mombasa Limited	23,200	23,200	424,200	476,500
	25,527,096	19,943,971	28,495,779	23,143,954
vi) Amount due to related parties				
Loans due to related parties (Note 13)	28,163,714	-	28,163,714	-
Loan due to directors (Note 13)	-	32,587,129	-	-
Amount due to director (Note 21)	10,040,000	-	10,040,000	-

The advances from directors are unsecured, interest free and have no specific dates of repayment.

25. COMMITMENTS

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Operating lease commitments - Group and Company as a lessee				
The future minimum lease payments payable under non-cancellable operating leases are as follows:				
Not later than 1 year	12,268,020	11,384,640	12,268,020	11,384,640
Later than 1 year and not later than 5 years	41,897,148	54,165,168	41,897,148	54,165,168
	54,165,168	65,549,808	54,165,168	65,549,808

The company leased a property under non-cancellable operating lease agreements. The lease term is for 6 years and is generally renewable at the end of the tenure of the lease.

26. RISK MANAGEMENT OBJECTIVES AND POLICIES

Financial Risk Management

The group's activities expose it to a variety of financial risks: market risk (including foreign exchange risk and interest rate risk), credit risk and liquidity risk.

The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the group's financial performance.

Risk management is carried out by the management under policies approved by the board of directors.

a) Market Risk

- Foreign exchange risk

The group is exposed to foreign exchange risk arising from various currency exposures primarily with respect to the US Dollar. The risk arises from future transactions, assets and liabilities in the statement of financial position.

The table below summarizes the effect on post-tax profit/(loss) had the Kenya Shilling weakened by 10% against the US Dollar, with all other variables held constant. If the Kenya Shilling strengthened against each currency, the effect would have been the opposite.

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Effect of profit/(loss) - increase	487,144	9,249,586	487,144	9,265,581

- Interest rate risk

The group's exposure to interest rate risk arises from borrowings.

The table below summarizes the effect on post-tax profit/(loss) had interest rates been 1% higher, with all other variables held constant. If the interest rates were lower by 1%, the effect would have been the opposite.

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Effect of profit/(loss) - increase	2,287,496	4,277,148	2,287,496	2,731,585

(b) Credit Risk

Credit risk arises from cash and cash equivalents, and deposits with banks and financial institutions, as well as credit exposures to customers, including outstanding receivables.

None of the financial assets that are fully performing has been renegotiated in the last year.

Exposure to this risk has been quantified in each financial asset note in the financial statements along with any concentration of risk.

(c) Liquidity Risk

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying businesses, the group's management maintains flexibility in funding by maintaining availability under committed credit lines.

Notes 13 and 21 disclose the maturity analysis of borrowings and trade and other payables respectively.

27. CAPITAL MANAGEMENT

The group's objectives when managing capital are:

- to provide an adequate return to shareholders by pricing products and services commensurate with the level of risk;
- to safeguard the entity's ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders;
- to maintain a strong asset base to support the development of business;
- to maintain an optimal capital structure to reduce the cost of capital.

The group sets the amount of capital in proportion to risk. The group manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the group may adjust the amount of dividends paid to shareholders, bonuses paid to directors or issue new shares. Consistently with others in the industry, the group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt : capital. Net debt is calculated as total debt (as shown in the statement of financial position) less cash and cash equivalents. Capital comprises all components of equity.

The gearing ratios at 31 December 2012 and 2011 were as follows:

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Total borrowings (Note 13)	99,302,251	367,000,986	99,302,251	334,413,857
Less cash and cash equivalents (Note 20)	(19,379,313)	(14,362,038)	(19,379,313)	(11,432,578)
Net debt	79,922,938	352,638,948	79,922,938	322,981,279
Total equity	198,286,777	170,557,831	202,834,354	189,582,979
Gearing ratio (%)	40.31	206.76	39.40	170.36

The decrease in the gearing ratio is primarily due to repayment of borrowings and a reduction of losses during the year.

28. CONTINGENT LIABILITIES

The company is a defendant in various legal actions. After seeking appropriate legal advice, the directors are of the opinion that the outcomes of such actions are not expected to give rise to any significant losses.

The company has an ongoing in-depth examination by the Kenya Revenue Authority. The examination has not been concluded as at the reporting date. As a result, the directors are unable to quantify liabilities (if any) arising from the examination.

29. INCORPORATION

Express Kenya Limited is incorporated in Kenya under the Companies Act as a public liability company and is domiciled in Kenya.

31. PRESENTATION CURRENCY

The financial statements are presented in Kenya Shillings (Shs).

SCHEDULE OF DIRECT COSTS AND ADMINISTRATIVE EXPENDITURE [GROUP AND COMPANY]

FOR THE YEAR ENDED 31 DECEMBER 2012

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
1. DIRECT EXPENSES				
Purchases	71,388,787	121,908,547	71,388,787	121,908,547
Salaries and wages	28,716,503	53,056,731	28,716,503	53,056,731
Motor vehicle running expenses	68,021,929	161,039,597	68,021,929	161,039,597
Insurance	11,335,771	11,924,032	11,335,771	11,924,032
Impairment on property, plant and equipment	61,539,338	35,343,352	61,539,338	35,343,352
Depreciation on property, plant and equipment	71,532,199	79,785,569	71,532,199	79,785,569
Total direct costs	312,534,527	463,057,828	312,534,527	463,057,828
2. ADMINISTRATIVE EXPENSES				
Employment:				
Salaries and wages	18,913,292	22,497,590	18,913,292	22,497,590
Medical expenses	1,126,458	1,821,955	1,126,458	1,821,955
Staff welfare and other costs	549,601	1,328,899	549,601	1,328,899
Total employment costs	20,589,351	25,648,444	20,589,351	25,648,444
Other administration expenses:				
Directors' remuneration	18,550,039	18,470,000	18,550,039	18,470,000
Management fees	-	7,586,206	-	-
Postages and telephones	2,952,763	6,531,547	2,952,763	6,531,547
Advertisement expenses	1,819,952	2,074,226	1,819,952	2,074,226
Vehicle running expenses	2,918,418	1,405,590	2,918,418	1,405,590
Travelling and transport	1,409,273	1,489,771	1,409,273	1,489,771
Printing and stationery	767,415	799,889	767,415	799,889
Subscriptions and periodicals	91,997	997,108	91,997	997,108
Audit fees				
• current year	1,869,600	2,679,600	1,800,000	2,500,000
• (over)/under provision in prior years	(829,014)	1,907,900	(829,014)	1,905,000
Legal and professional fees	3,297,934	4,962,644	3,215,834	4,954,374
Legal claims	10,850,000	5,350,000	10,850,000	5,350,000
Secretarial fees	72,100	83,680	-	57,000
Bank charges and commissions	791,248	2,831,308	791,248	2,658,652
Donations	-	25,000	-	25,000
Bad debts written off	-	40,000	-	40,000
Bad debt provisions (net of reversals)	2,546,840	-	2,546,840	-
Fines and penalties	923,089	303,309	456,692	303,309
Stamp duty	6,000	-	6,000	-
Miscellaneous expenses	294,887	155,827	761,284	155,370
Total other administration expenses	48,332,541	57,693,605	48,108,741	49,716,836
Total administrative expenses	68,921,892	83,342,049	68,698,092	75,365,280

SCHEDULE OF OTHER EXPENDITURE [GROUP AND COMPANY]

	GROUP		COMPANY	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
3. OTHER OPERATING EXPENSES				
Establishment:				
Rent and rates	16,462,105	10,926,717	16,462,105	13,459,355
Electricity and water	3,506,953	4,533,621	3,506,953	4,533,621
Repairs and maintenance	2,602,294	2,792,592	2,602,294	2,792,592
Insurance	551,354	551,354	551,354	551,354
Licenses	-	45,000	-	-
Security expenses	5,971,435	5,864,954	5,971,435	5,864,954
Depreciation on property, plant and equipment	570,672	1,302,716	570,672	1,299,003
Total other operating expenses	29,664,813	26,016,954	29,664,813	28,500,879
4. FINANCE COSTS				
Foreign exchange (gain)/loss	(2,695,897)	25,624,809	(2,695,897)	9,838,763
Interest expense:				
• bank borrowings and overdraft	11,918,236	33,854,166	11,918,236	18,282,513
• cheque and invoice discounting	-	3,996,178	-	3,996,178
• finance leases	20,531,531	32,564,460	20,531,531	32,564,460
• related party borrowings	-	2,986,666	-	-
Total finance costs	29,753,870	99,026,279	29,753,870	64,681,914

TOP 30 SHAREHOLDERS

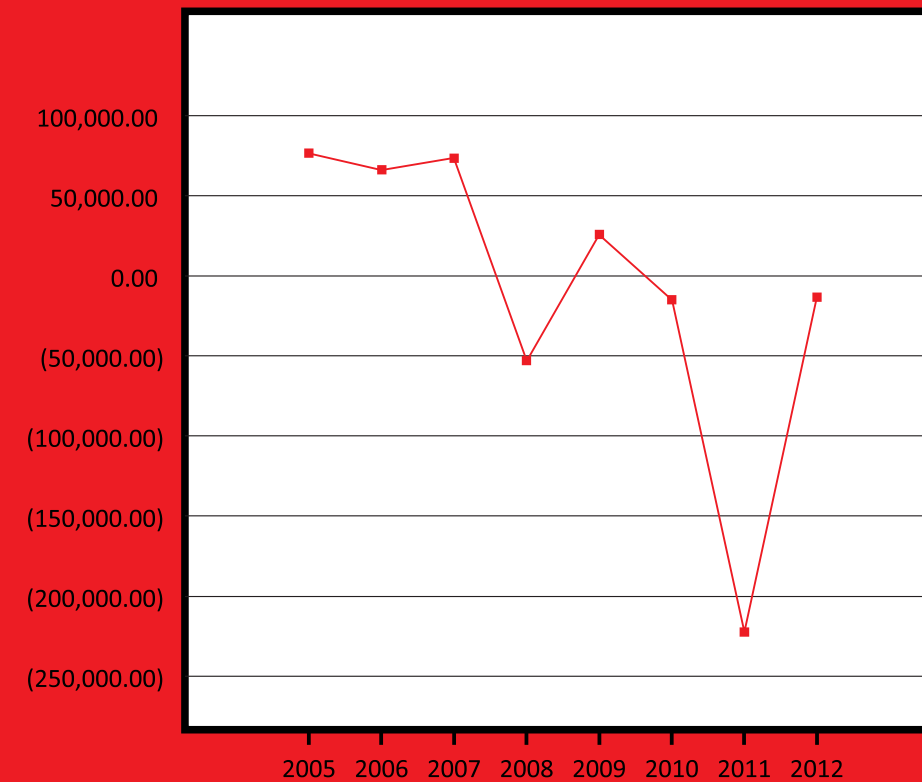
FOR THE YEAR ENDED 31 DECEMBER 2012

	NAME	TOTAL SHARES	%
1	ETCOVILLE HOLDINGS LIMITED	21,392,898	60.43%
2	PAUL WANDERI NDUNGU	1,855,884	5.24%
3	CFC STANBIC NOMINEES LTD. A/C R48701	600,549	1.70%
4	STANDARD CHARTERED NOMINEES A/C 9397	457,054	1.29%
5	ALY SHIRAZ MAHERALI & SHIRAZ MOHAMEDALI MAHERALI	422,800	1.19%
6	YASIN ESMAIL AHMED	249,600	0.71%
7	CFCFS NOMINEE LTD A/C HDZ	249,600	0.71%
8	ALNASHIR ABDUL KARIM CHATURBHAI POPAT	237,600	0.67%
9	HECTOR ROBERT DINIZ	178,700	0.50%
10	PATRICK KARIUKI & AGNES NDUNG'U KARING	177,700	0.50%
11	THE JUBILEE INSURANCE COMPANY OF KENYA LIMITED	158,600	0.45%
12	ANDREW MUKITE MUSANGI	153,100	0.43%
13	ELEGANT HOLDINGS LIMITED	150,800	0.43%
14	LAVINGTON SECURITY GUARDS LIMITED	125,498	0.35%
15	MACHARIA MIGWI	110,000	0.31%
16	SUPINDER SINGH SOIN	106,000	0.30%
17	VISHAL SUDHIRKUMAR SHAH	103,500	0.29%
18	KUNAL MAYUR AMRATLAL SHAH	98,700	0.28%
19	ROBINSON NGIGI GOCO	98,007	0.28%
20	KOTECHA KISHORCHANDRA & KOTECHA AJAY	97,597	0.28%
21	ALY POPAT	92,900	0.26%
22	JOSEPHAT KIMATA WA MUKUI	92,331	0.26%
23	SIMON SAINING'U	83,400	0.24%
24	FUNGUO INVESTMENTS LIMITED	77,287	0.22%
25	AFRICAN ALLIANCE KENYA NOMINEES A/C 2020	70,100	0.20%
26	DYER AND BLAIR INVESTMENT BANK LTD. DYER & BLAIR DEALING	62,600	0.18%
27	HASMITA AJITKUMAR & AJITKUMAR RATILAL HARIA	62,300	0.18%
28	PRAVINKANT LAKHAMSHI SHAH	61,886	0.17%
29	ALPA NISHIT CHHEDA; NISHIT SURENDRAKUMAR CHHEDA	60,000	0.17%
30	FRANCIS P NGILLAH	55,027	0.16%
SHARES SELECTED		27,742,018	78.36%
SHARES NOT SELECTED - 4,223 Shareholders		7,661,772	21.64%
SHARES ISSUED		35,403,790	100.00%
TOTAL SHAREHOLDERS		4,253	
CDSC IMMOBILIZATION:			
NO. OF SHAREHOLDERS AT THE CDSC		3,261	
NO. OF SHARES HELD AT CDSC		34,184,848	

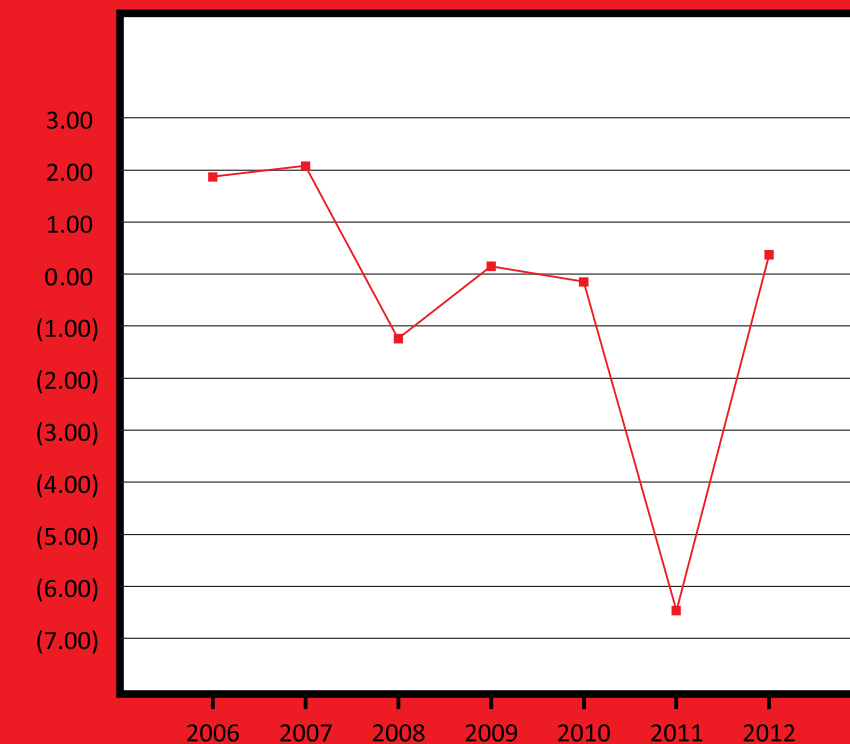
FINANCIAL HIGHLIGHTS

FOR THE YEAR ENDED 31 DECEMBER 2012

PROFIT (LOSS) BEFORE TAX



BASIC EARNINGS (LOSS) PER SHARE





STAMP

The Company Secretary
EXPRESS KENYA LIMITED
P O Box 40433 - 00100 GPO
Nairobi, Kenya



A Member of *Diniz Holdings Limited*